

FEDERAL MARITIME COMMISSION

SANTA FE DISCOUNT CRUISE PARKING,
INC. DBA EZ CRUISE PARKING,
LIGHTHOUSE PARKING INC., AND
SYLVIA ROBLEDO DBA 81ST DOLPHIN
PARKING

Complainants,

v.

THE BOARD OF TRUSTEES OF THE
GALVESTON WHARVES AND THE
GALVESTON PORT FACILITIES
CORPORATION,

Respondents.

Docket No. 14-06

Served: August 9, 2018

BY THE COMMISSION: Michael A. KHOURI, *Acting
Chairman*, Rebecca F. DYE, *Commissioner*.

Order Remanding Proceeding to Administrative Law Judge

This proceeding comes before the Commission on remand from the U.S. Court of Appeals for the District of Columbia Circuit (D.C. Circuit or Court). The D.C. Circuit vacated the Commission's

January 13, 2017 Order affirming the Administrative Law Judge's (ALJ) Initial Decision dismissing the complaint, and the Court remanded the case to the Commission for further proceedings consistent with the Court's May 11, 2018 opinion. We therefore remand this proceeding to the ALJ to address all remaining issues.

The Commission's January 13, 2017 Order includes a detailed recitation of the facts of this case, and we only briefly summarize them here. In 2004, the Board of Trustees of the Galveston Wharves (Port) adopted a tariff that imposed access fees on ground transportation companies whose vehicles enter the Galveston cruise terminal. The fee amount varied depending on the type of vehicle entering the cruise terminal. Complainants operate off-port parking lots and primarily transport their customers to the cruise terminal via shuttle bus. Under the Port's original fee schedule, Complainants' shuttle buses were subject to an access fee each time a bus entered the cruise terminal. They challenged the per-trip access fee as unworkable for their business and eventually negotiated a different fee regime under which they were charged based on the number of parking spaces they maintained for customer use and were not charged per shuttle bus trip. Other companies continued operating under the original fee regime and paid an access fee in the form of a per-trip charge or a decal renewed annually, depending on the type of vehicle(s) entering the cruise terminal.

Complainants operated under their negotiated per-space fee regime for almost eight years. When the Port proposed to raise the fees imposed on ground transportation companies under both fee regimes in May 2014, Complainants filed a complaint with the Commission alleging that the Port's operation of the two regimes violated the Shipping Act. Shortly thereafter, the Port retroactively rescinded the rate increase applicable to Complainants and simultaneously abolished their separate fee regime. Effective October 1, 2014, Complainants were assessed fees under the same regime as other ground transportation companies, and their fees were determined by the type of vehicle they used to transport their customers to the cruise terminal.

Complainants initially alleged that the Port violated 46 U.S.C. §§ 41102(c), 41106(2), and 41106(3). The ALJ dismissed the § 41102(c) and § 41106(3) claims on November 21, 2014.¹ The ALJ dismissed the remaining § 41106(2) claims on December 4, 2015.

In particular, the ALJ found that Complainants failed to meet the first two elements required by the Commission in § 41106(2) cases. *See Ceres Marine Terminal, Inc. v. Maryland Port Administration*, 27 S.R.R. 1251, 1270 (FMC 1997). Specifically, complainants have the initial burden of proving: (1) in certain cases, that the complainant and another person or entity are similarly situated or in a competitive relationship; (2) the respondent treated the complainant and the other person differently; and (3) the different treatment is the proximate cause of injury to the complainant. If the complainant makes such showing, the burden of production shifts to the respondent to justify the different treatment based on valid transportation factors. Although the ALJ determined that the Complainants established that they were treated differently than other ground transportation companies, the ALJ found that they had failed to prove that they were similarly situated or in a competitive relationship with those other companies or that the different treatment caused them injury. On review, the Commission affirmed the determination that although Complainants had been subjected to different treatment, they failed to establish injury.²

The D.C. Circuit disagreed with the Commission's injury determination, finding that Complainants "were plainly injured when they were charged more than other commercial passenger vehicles." *Santa Fe Disc. Cruise Parking, Inc. v. Fed. Mar. Comm'n*, 889 F.3d 795, 797 (D.C. Cir. 2018). The Court therefore vacated the Commission's decision and remanded for further proceedings, stating that the Commission could consider on remand

¹ The ALJ's decision became final on December 23, 2014.

² The Commission also determined that the ALJ erred in finding that Complainants were required to establish that they were similarly situated or in a competitive relationship with other ground transportation companies.

the Port's argument that the differential treatment of Complainants' vehicles is justified by legitimate transportation factors. *Id.*

Consistent with the Court's opinion, we are remanding the proceeding to the ALJ to address all remaining issues, including whether the Port's different treatment was justified by valid transportation factors, whether the Shipping Act's statute of limitations bars any of Complainants' claims,³ and whether Complainants are entitled to relief. Additional briefing by the parties may be permitted in the ALJ's discretion.

THEREFORE, IT IS ORDERED, that this proceeding is remanded to the ALJ for further adjudication consistent with this Order and the D.C. Circuit's May 11, 2018 opinion.

By the Commission.

Rachel E. Dickon
Secretary

³ The Port argued before the ALJ that the Shipping Act's statute of limitations barred Complainants' claim for reparations. The ALJ pretermitted a decision on that question given the finding that Complainants' failed to establish injury.